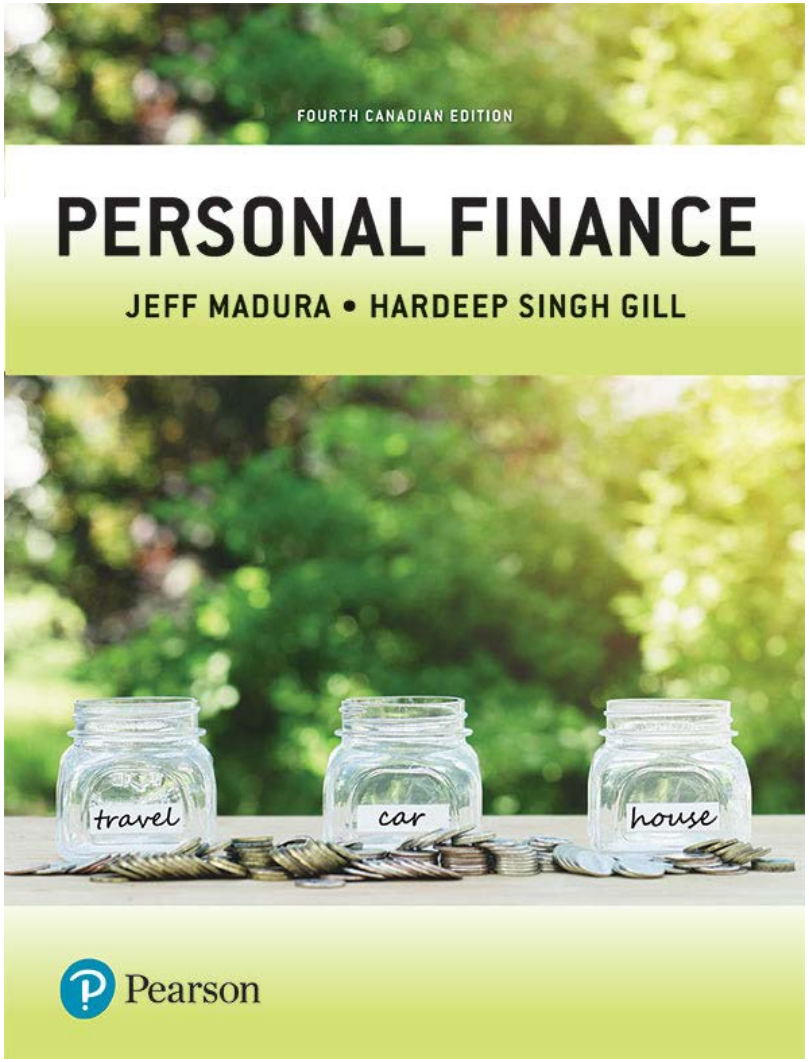
Personal Finance

Fourth Canadian Edition



Chapter 3

Planning with Personal Financial Statements

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Personal Cash Flow Statement

- Personal cash flow statement: a financial statement that measures a person's income and expenses (the first step in the budgeting process)
- Record your income; salary, interest income, dividends, capital gains, etc.
- Record your expenses large and small; rent, living expenses, credit card payments, etc.
- Net cash flows: Disposable (after-tax) income minus expenses

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Factors That Affect Cash Flows (1 of 2)

- Factors Affecting Income:
  - Stage in Your Career Path
    - Closely related to your life stage (e.g., early career stage vs. prime earning years)
  - Type of Job
    - Based on skill level and demand for those skills
  - Number of Income Earners in Your Household

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Factors That Affect Cash Flows (2 of 2)

- Factors Affecting Expenses:
  - Size of Family
  - Age
  - Personal Consumption Behaviour
    - Some people spend all of their income and more, while others, “big savers”, spend mainly on necessities and concentrate on saving for the future

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Creating a Budget

- Budget: a cash flow statement that is based on forecasted cash flows (income and expenses) for a future time period
- Budgets are useful for anticipating either cash surpluses or cash deficiencies. Cash surpluses may be used to build an emergency fund, invest in additional assets or make extra payments to reduce personal debt

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Creating a Budget Notes

- Anticipate cash shortages
- Assess the accuracy of the budget
- Forecast net cash flows over several months
- Budget with a biweekly pay period, if applicable (use third biweekly cheques wisely)
- Create an annual budget, by extending your budget out for longer periods
- Improve the budget, based on a review to see if your budget reflects reality

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Alternative Budgeting Strategies (1 of 2)

- Envelope Method
  - Forces you to stick to a cash-only budget for the expense categories that are hardest to control (e.g. recreation, dining out, small day-to-day expenses)
  - Create a separate envelope for each category
  - Place the budgeted cash amount in each envelope
  - You can spend only the money in the envelope for the assigned category
  - Balances can be carried forward

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Alternative Budgeting Strategies (2 of 2)

- Pay Yourself First Method
  - Arrange for an automatic transfer of money from your chequing account to your savings account
  - Transfer would coincide with when you receive your paycheque
  - In contrast to the envelope method, this method removes net cash flows at the beginning of the budget period

Free App: *The Visual Budget*

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Personal Balance Sheet

- Personal balance sheet: a summary of your assets (what you own), your liabilities (what you owe), and your net worth (assets minus liabilities)
- A personal balance sheet is a snapshot of your financial position at a *specific* point in time

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Assets

- Liquid assets: financial assets that can be easily converted into cash without a loss in value (e.g., cash, chequing account)
- Household assets: items normally owned by a household (e.g., car, furniture)
  - You need to establish market values for these assets—the amount you would receive if you sold the asset today

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Investments

- Stocks: certificates representing partial ownership in a firm (see ca.finance.yahoo.com for values)
- Bonds: certificates issued by borrowers, usually firms and government agencies, to raise funds
- Mutual funds: investment companies that sell units to individuals and invest the proceeds in an overall portfolio of investment instruments such as bonds or stocks
- Real estate: principal residence and holdings in rental property and land

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Liabilities

- Current liabilities: personal debts that will be paid in the near future (within a year) (e.g., credit card debt)
- Long-term liabilities: debts that will be paid over a period longer than one year (e.g., student loan, car loan, mortgage/housing loans)

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Net Worth

- Value of total assets − Value of total liabilities (what you own minus what you owe)
- A measure of wealth
- Closely related to your life stage (e.g., early career vs. prime earning)

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Creating a Personal Balance Sheet

- Allows you to determine your net worth
- Update it periodically to monitor how your wealth changes over time
- Some changes will affect both your personal balance sheet and your net worth
- Your net worth will not grow unless the increase in the value of your assets exceeds the increase in the value of your liabilities

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Financial Ratio Calculations

- Allow you to analyze your personal balance sheet and income statement; monitoring of liquidity, debt, and ability to save
- Liquidity is measured by the current ratio and the liquidity ratio
  - Current ratio = Liquid Assets/Current Liabilities
  - High current ratio → higher degree of liquidity
  - Liquidity ratio = Liquid Assets/Monthly Living Expenses (assess trend…)

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Debt level ratios

- Debt-to-Asset Ratio = Total liabilities/Total Assets
- High debt-to-asset ratio → excessive amount of debt
- Should be directly related to the financial planning life stages
- Should have no debt when you reach the retirement life stage

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Savings Ratio

- measures savings over the period in comparison to disposable income over the period
- Savings Ratio = Savings during the Period/Disposable Income during the Period

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